Chapter 1 INTERNAL CHECK

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Learning Objectives

- To understand the meaning, objectives, advantages and disadvantages of Internal Check system.
- To Analyse the Auditor's duties with regard to Internal Check System.
- To Evaluate the Application of internal check system with respect to Cash and Trading transactions.

1.1 Introduction

In business concerns there are chances of misapporopriation and manipulation of accounts. In order to overcome such irregularities and to prevent or minimise the occurrence of errors and frauds, a checking system is designed to have a check on the irregularities. Such a check which operates continuously as part of the routine system is called as Internal Check. This chapter highlights the principles of good internal check system and explains in detail the procedure of internal check with regards to cash and trading transactions.

1.2 Meaning Of Internal Check



The term internal check refers to allocation of duties to the employees in an organisation in such a way that the work of one person is automatically

Internal check system when cash is withdrawn from bank against a cheque

Firstly, the Cheque is produced at the counter where the clerk issues a token and enters the token number on the back side of the cheque and in the token book.

Secondly, the cheque is then passed on to the ledger clerk who verifies the credit balance in the account of customer and makes the debit entry therein for the amount of the cheque.

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